

The Power Of INGREDIENT BRANDING



Abhimanyu Mathur
is executive vice
president, Lowe Lintas
(part of MullenLowe
Lintas Group)



*Some lessons
for components
manufacturers that
could help them do
much better than their
competitors*

The electronics industry is the pioneer when it comes to ingredient branding. There have been many great and iconic cases, and there is a lot to learn from these.

The computer industry brought ingredient branding to the forefront. Assembling desktop computers using branded components was a viable way to save money for the end user. An assembler could take a Seagate hard disk, Intel processor, Samsung monitor and Logitech mouse to create a computer as good as an HP or Compaq desktop.

The slow shift to the laptop eliminated the ability to assemble. However, by then, the industry was operating on well-known ingredient brands, processors, hard disks, monitors and mice. Although the assembling industry was not threatening computer brands, the result of this ingredient branding was that there was not much differentiation between an HP or a Compaq or an IBM.

What is an ingredient brand

When a component product builds a brand, it is called an ingredient brand. It is not built with the customer as the target. Instead, it is built with the end user in mind. When the end user knows the brand well, it creates pull for the brand.

Many companies feel that if their customers know them and their companies

are well known in the industry for providing quality products, they have a brand.

But, I beg to differ. The end user needs to know the company and its products. The company needs to create some pull for its products for it to truly call itself a brand.

Commoditised category

Until the first brand in the component category takes that first step to build a brand, the category is largely commoditised. Now the question is, what is a commoditised category?

It is a category in which no player has built a brand in a significant manner. Players remain largely unknown to the end user. And because of that, no one player can command a price premium for each sale it makes. Players build relationships with their customers by providing good quality at best possible prices, and get sales based on that, rather than the strength of the brands.

Benefits of ingredient branding

An ingredient brand goes into making the finished product. The finished product uses the ingredient brand to be sold, because it adds credibility to its quality. It also allows the finished product manufacturer to charge a premium.

For the ingredient brand, the ability to charge a premium is the single biggest advantage of investing in brand-building.